(iv) Social Welfare

It is the duty of the state to make provisions for education, social security, social insurance, health and sanitation for the betterment of the people in the country.

(v) Infrastructure

Modern States have to build the base for the economic development of the country by creating social and economic infrastructure.

(vi) Macro-economic policy

The Government has to administer fiscal policy and monetary policy to achieve macro-economic goals.

(vii) Social Justice

During the process of growth of an economy, certain sections of the society gain at the cost of others. The Government needs to intervene with fiscal measures to redistribute income.

(viii) Control of Monopoly

Concentration of economic power is another evil to be corrected by the Government. So, the state intervenes through control of monopolies and restrictive trade practices to curb concentration of economic power.

In fine, the state can play three kinds of roles.

i) As a producer of goods and services.

ii) As a supplier of public goods and social goods.

iii) As a regulator of the system.

9.7 Public Expenditure

9.7.1. Meaning

Public expenditure refers to Government spending incurred by Central, State and Local governments of a country.

9.7.2. Definition

Public expenditure can be defined as, "The expenditure incurred by public authorities like central, state and local governments to satisfy the collective social wants of the people is known as public expenditure".

9.7.3. Classification of public expenditure are as follows:

1. **Classification on the Basis of Benefit:**

Cohn and Plehn have classified the public expenditure on the basis of benefit into four classes:

a) Public expenditure benefiting the entire society, e.g., the expenditure on general administration, defence, education, public health, transport.

b) Public expenditure conferring a special benefit on certain people and at the same time common benefit on the entire community, e.g. administration of justice etc.

c) Public expenditure directly benefiting particular group of persons and indirectly the entire society, e.g. social

12-Economics-Chapter_9.indd 180 2/6/2020 11:51:27 AM